

KEY TAKEAWAYS: TAXES

- Your entire salary is not taxed. You get to claim a deduction from your salary, most likely the standard deduction (\$12,400 in 2020).
- Your entire salary is not taxed at one rate. Portions of your salary are taxed at different rates. Never turn down a raise thinking that it will put you into a higher tax rate and cause you to make less money.
- Your W-4 determines how much money will be withheld from your paychecks for taxes. Your W-2 shows how much money you earned and how much money you paid in taxes for the previous calendar year. The 1040 is what you use to file your taxes.
- You do not want to underpay or overpay too much in taxes during the year. You can check if you are having the correct amount of money withheld from your paycheck by visiting www.irs.gov/W-4app and filling out the questions using your most recent pay stub.